Daiwa Capital Markets Hong Kong Limited

# SDI Corp (2351 TT)

Target price: **TWD265.00** (from TWD192.00)

Share price (27 May): **TWD229.00** | Up/downside: **+15.7%**

5 4 3 2 1

**Buy** (unchanged)

## Stronger-than-expected order visibility

- Ramping up AI lead frames revenue with rush orders
- Heat-spreader products started to contribute revenue in 2026
- Reaffirming our Buy (1) call; raising 12M TP to TWD265

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**What's new:** We attended SDI's investor conference on 27 May. We now foresee a brighter-than-expected revenue and gross-margin outlook over 2026, thanks to its better-than-expected auto, industrial, and consumer electronic segments along with the upside potential for its AI lead frame and heat spreader as well as multiple price hikes (due to cost inflation and a copper price hike YTD). We reaffirm our Buy (1) call (see our latest flash *1Q26 results: a strong beat*, 7 May).

**What's the impact: Brighter-than-expected lead frame outlook.** For 2Q26, SDI expects its revenue to grow double-digit % QoQ in addition to a better order outlook from auto (recovering revenue momentum from existing products and rising revenue contribution from new products) and industrial (improving revenue momentum since 2Q26), and better-than-feared consumer revenue with rising momentum in the recent three months. SDI mentioned that the utilisation rate is high at its plants in China (from auto demand with new products contribution) and Taiwan (from AI, auto, and industrial demand for IDM and OSAT clients).

**Rising revenue contribution from AI lead frame and heat spreader.** Its AI lead frame accounted for 6% of revenue in 1Q26, and management targets to reach double-digit revenue contribution by 4Q26. SDI highlights that the company has received many rush orders for AI lead frame, and 50-60 new AI-related new products are expected to be launched in 2H26. SDI is obtaining product approval for its heat spreader and expects "tens of millions" of TWD contribution in 2026, mainly from auto and the CPO switch. SDI is currently testing the production for CPU and GPU. Although less than 1% of revenue contribution is expected in 2026, SDI is positive about its heat spreader outlook going forward. In terms of gross margin, SDI will likely optimise its product mix and hike prices in 2Q26. It is planning another price hike for 2H26. We raise our 2027-28E EPS by 14-19%, mainly due to our more aggressive gross margin assumption on a better product mix, rising automation level, and production efficiency.

**What we recommend:** We reaffirm our Buy (1) rating with a new 12M TP of TWD265 (from TWD192), now based on a target PER of 39x (from 30x), still at the lower end of its past-5-year range of 12-73x [average PER: 28x]) due to its strong earnings visibility (net profit CAGR of 27.0% over 2026-28E, from 15.6% previously) on our 1-year forward EPS. Key downside risks: worse-than-expected end demand and worse-than-expected gross-margin expansion.

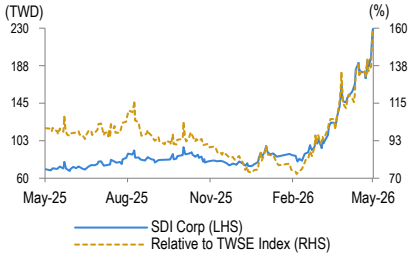
**How we differ:** Our 2026E EPS is 7% higher than the Bloomberg consensus, likely due to our more aggressive view on its revenue and gross-margin expansion.

### Forecast revisions (%)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue change | 6.7 | 14.4 | 21.3 |
| Net profit change | 2.7 | 19.0 | 24.0 |
| Core EPS (FD) change | (1.2) | 14.4 | 19.3 |

*Source: Daiwa forecasts*

### Share price performance




| | |
|---|---|
| 12-month range | 68.20-229.00 |
| Market cap (USDbn) | 1.33 |
| 3m avg daily turnover (USDm) | 34.09 |
| Shares outstanding (m) | 182 |
| Major shareholder | Chen family (51.0%) |

### Financial summary (TWD)

| Year to 31 Dec | 26E | 27E | 28E |
|---|---|---|---|
| Revenue (m) | 13,078 | 15,435 | 17,694 |
| Operating profit (m) | 1,465 | 1,972 | 2,355 |
| Net profit (m) | 1,120 | 1,504 | 1,806 |
| Core EPS (fully-diluted) | 5.633 | 7.563 | 9.085 |
| EPS change (%) | 243.5 | 34.3 | 20.1 |
| Daiwa vs Cons. EPS (%) | 6.8 | (2.0) | 13.1 |
| PER (x) | 40.7 | 30.3 | 25.2 |
| Dividend yield (%) | 1.7 | 2.3 | 2.8 |
| DPS | 4.0 | 5.4 | 6.4 |
| PBR (x) | 5.2 | 4.8 | 4.4 |
| EV/EBITDA (x) | 20.2 | 16.3 | 14.2 |
| ROE (%) | 14.9 | 18.0 | 20.0 |

*Source: FactSet, Daiwa forecasts*

See important disclosures, including any required research certifications, beginning on page 6

Flash

## SDI: revisions to revenue and earnings forecasts

| (TWDm) | 2026E | | | 2027E | | | 2028E | | |
|---|---|---|---|---|---|---|---|---|---|
| | New | Previous | Change | New | Previous | Change | New | Previous | Change |
| **Revenue** | **13,078** | **12,261** | 6.7% | **15,435** | **13,488** | 14.4% | **17,694** | **14,587** | 21.3% |
| **Gross profit** | **2,502** | **2,292** | 9.2% | **3,088** | **2,522** | 22.5% | **3,511** | **2,762** | 27.1% |
| *Gross profit margin* | *19.1%* | *18.7%* | 0.4pp | *20.0%* | *18.7%* | 1.3pp | *19.8%* | *18.9%* | 0.9pp |
| **Operating profit** | **1,465** | **1,361** | 7.6% | **1,972** | **1,576** | 25.1% | **2,355** | **1,821** | 29.4% |
| *Operating profit margin* | *11.2%* | *11.1%* | 0.1pp | *12.8%* | *11.7%* | 1.1pp | *13.3%* | *12.5%* | 0.8pp |
| **Net profit** | **1,120** | **1,090** | 2.7% | **1,504** | **1,264** | 19.0% | **1,806** | **1,457** | 24.0% |
| *Net profit margin* | *8.6%* | *8.9%* | -0.3pp | *9.7%* | *9.4%* | 0.4pp | *10.2%* | *10.0%* | 0.2pp |
| **Diluted EPS (TWD)** | **5.63** | **5.70** | -1.2% | **7.56** | **6.61** | 14.4% | **9.09** | **7.62** | 19.3% |

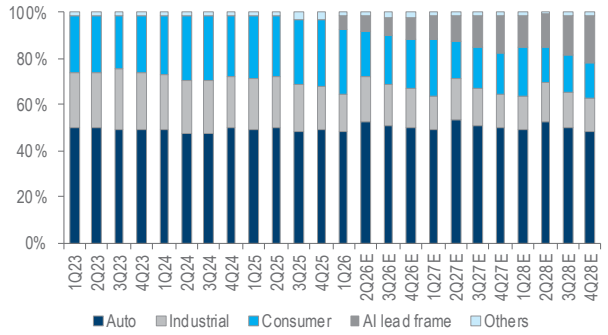
*Source: Daiwa forecasts*

## SDI: quarterly P&L

| | 2026E | | | | 2027E | | | | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|---|---|---|
| (TWDm) | 1Q26 | 2Q26E | 3Q26E | 4Q26E | 1Q27E | 2Q27E | 3Q27E | 4Q27E | | | |
| Revenue | 2,805 | 3,421 | 3,434 | 3,418 | 3,249 | 4,017 | 4,068 | 4,100 | 12,261 | 13,488 | 14,587 |
| Gross profit | 536 | 667 | 647 | 651 | 613 | 806 | 824 | 845 | 2,292 | 2,522 | 2,762 |
| Operating profit | 272 | 411 | 391 | 391 | 334 | 527 | 545 | 566 | 1,361 | 1,576 | 1,821 |
| Pre-tax profit | 292 | 408 | 388 | 388 | 330 | 524 | 542 | 563 | 1,442 | 1,657 | 1,901 |
| Net profit | 222 | 307 | 296 | 295 | 250 | 403 | 417 | 434 | 1,090 | 1,264 | 1,457 |
| Basic EPS (TWD) | 1.22 | 1.69 | 1.62 | 1.62 | 1.37 | 2.21 | 2.29 | 2.38 | 6.01 | 6.97 | 8.03 |
| **Margin** | | | | | | | | | | | |
| Gross margin | 19.1% | 19.5% | 18.8% | 19.0% | 18.9% | 20.1% | 20.3% | 20.6% | 18.7% | 18.7% | 18.9% |
| Operating margin | 9.7% | 12.0% | 11.4% | 11.4% | 10.3% | 13.1% | 13.4% | 13.8% | 11.1% | 11.7% | 12.5% |
| Pre-tax margin | 10.4% | 11.9% | 11.3% | 11.3% | 10.2% | 13.0% | 13.3% | 13.7% | 11.8% | 12.3% | 13.0% |
| Net margin | 7.9% | 9.0% | 8.6% | 8.6% | 7.7% | 10.0% | 10.2% | 10.6% | 8.9% | 9.4% | 10.0% |
| **YoY** | | | | | | | | | | | |
| Revenue | 11.0% | 31.9% | 35.1% | 32.3% | 15.8% | 17.4% | 18.5% | 20.0% | 19.7% | 10.0% | 8.2% |
| Gross profit | 45.6% | 145.0% | 104.8% | 59.4% | 14.2% | 20.9% | 27.3% | 29.8% | 67.9% | 10.0% | 9.5% |
| Operating profit | 85.0% | 477.9% | 277.7% | 120.8% | 22.7% | 28.4% | 39.3% | 44.8% | 172.9% | 15.8% | 15.5% |
| Pre-tax profit | 92.3% | n.m. | 205.2% | 95.3% | 13.1% | 28.5% | 39.6% | 45.2% | 228.2% | 14.9% | 14.7% |
| Net profit | 97.1% | n.m. | 238.3% | 102.7% | 12.7% | 31.2% | 41.1% | 46.8% | 259.5% | 15.9% | 15.3% |
| **QoQ** | | | | | | | | | | | |
| Revenue | 8.6% | 22.0% | 0.4% | -0.5% | -4.9% | 23.6% | 1.3% | 0.8% | | | |
| Gross profit | 31.4% | 24.3% | -2.9% | 0.6% | -5.9% | 31.6% | 2.2% | 2.6% | | | |
| Operating profit | 53.5% | 51.2% | -4.8% | -0.1% | -14.7% | 58.1% | 3.3% | 3.9% | | | |
| Pre-tax profit | 47.1% | 39.7% | -4.9% | -0.1% | -14.8% | 58.8% | 3.3% | 3.9% | | | |
| Net profit | 52.2% | 38.5% | -3.8% | -0.1% | -15.4% | 61.3% | 3.4% | 4.0% | | | |

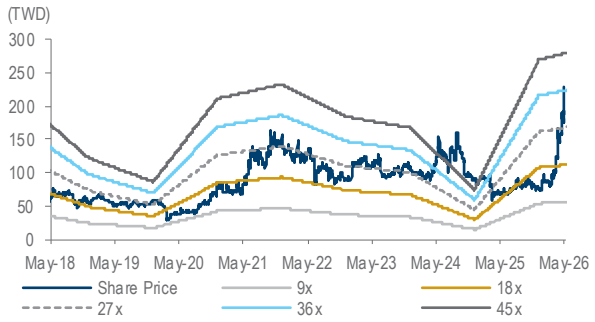
*Source: Company, Daiwa forecasts*

## SDI: revenue breakdown by application




*Source: Company, Daiwa forecasts*

## SDI: 1-year forward PER




*Source: Bloomberg, Daiwa forecasts*

## Financial summary

### Key assumptions

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Auto revenue growth (%) | 78.2 | 26.0 | (1.4) | (4.1) | (2.8) | 37.4 | 20.0 | 15.0 |
| Industrial revenue growth (%) | 9.7 | (0.3) | (11.4) | (8.6) | (12.7) | 11.0 | 10.0 | 10.0 |
| Consumer revenue growth (%) | 26.9 | (10.0) | (7.7) | 11.3 | (2.0) | 7.3 | 2.0 | 2.0 |

### Profit and loss (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Electronics | 9,455 | 10,112 | 9,418 | 9,277 | 8,865 | 11,786 | 14,143 | 16,402 |
| Stationery | 1,697 | 1,612 | 1,439 | 1,538 | 1,382 | 1,292 | 1,292 | 1,292 |
| Other Revenue | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Revenue** | **11,153** | **11,724** | **10,857** | **10,815** | **10,247** | **13,078** | **15,435** | **17,694** |
| Other income | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| COGS | (9,043) | (9,646) | (9,002) | (9,094) | (8,882) | (10,576) | (12,347) | (14,183) |
| SG&A | (637) | (655) | (633) | (633) | (597) | (716) | (756) | (776) |
| Other op.expenses | (248) | (254) | (242) | (259) | (269) | (320) | (360) | (380) |
| **Operating profit** | **1,225** | **1,169** | **979** | **829** | **499** | **1,465** | **1,972** | **2,355** |
| Net-interest inc./(exp.) | (57) | (71) | (50) | (50) | (52) | (57) | (56) | (56) |
| Assoc/forex/extraord./others | (1) | 172 | 72 | 118 | (7) | 67 | 43 | 43 |
| **Pre-tax profit** | **1,168** | **1,270** | **1,001** | **897** | **439** | **1,475** | **1,958** | **2,342** |
| Tax | (257) | (270) | (220) | (167) | (95) | (312) | (411) | (492) |
| Min. int./pref. div./others | (58) | (59) | (38) | (55) | (42) | (44) | (44) | (44) |
| **Net profit (reported)** | **852** | **941** | **743** | **675** | **303** | **1,120** | **1,504** | **1,806** |
| **Net profit (adjusted)** | **852** | **941** | **743** | **675** | **303** | **1,120** | **1,504** | **1,806** |
| **EPS (reported)(TWD)** | **4.679** | **5.164** | **4.078** | **3.706** | **1.665** | **6.148** | **8.255** | **9.917** |
| **EPS (adjusted)(TWD)** | **4.679** | **5.164** | **4.078** | **3.706** | **1.665** | **6.148** | **8.255** | **9.917** |
| **EPS (adjusted fully-diluted)(TWD)** | **4.679** | **5.164** | **4.078** | **3.706** | **1.640** | **5.633** | **7.563** | **9.085** |
| **DPS (TWD)** | **3.000** | **3.200** | **2.600** | **2.500** | **1.100** | **3.996** | **5.366** | **6.446** |
| **EBIT** | **1,225** | **1,169** | **979** | **829** | **499** | **1,465** | **1,972** | **2,355** |
| **EBITDA** | **1,899** | **1,830** | **1,651** | **1,535** | **1,200** | **2,235** | **2,803** | **3,237** |

### Cash flow (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Profit before tax | 1,168 | 1,270 | 1,001 | 897 | 439 | 1,475 | 1,958 | 2,342 |
| Depreciation and amortisation | 674 | 661 | 672 | 707 | 701 | 769 | 831 | 882 |
| Tax paid | (257) | (270) | (220) | (167) | (95) | (312) | (411) | (492) |
| Change in working capital | (1,358) | 188 | 375 | (105) | 276 | (1,489) | (1,085) | (1,056) |
| Other operational CF items | 294 | 148 | (102) | (142) | (37) | (72) | (49) | (49) |
| **Cash flow from operations** | **521** | **1,996** | **1,726** | **1,190** | **1,284** | **372** | **1,244** | **1,626** |
| Capex | (1,194) | (815) | (695) | (587) | (933) | (1,300) | (1,000) | (900) |
| Net (acquisitions)/disposals | 3 | 2 | 23 | 6 | 6 | 0 | 0 | 0 |
| Other investing CF items | (32) | (26) | (17) | 25 | (77) | 0 | 0 | 0 |
| **Cash flow from investing** | **(1,223)** | **(838)** | **(689)** | **(556)** | **(1,005)** | **(1,300)** | **(1,000)** | **(900)** |
| Change in debt | 1,023 | (204) | (617) | 121 | (997) | 1,077 | 0 | 0 |
| Net share issues/(repurchases) | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Dividends paid | (328) | (546) | (583) | (474) | (455) | (200) | (728) | (977) |
| Other financing CF items | (53) | (52) | (57) | (50) | 1,125 | 0 | 0 | 0 |
| **Cash flow from financing** | **642** | **(803)** | **(1,257)** | **(402)** | **(328)** | **877** | **(728)** | **(977)** |
| Forex effect/others | (2) | 1 | (1) | 4 | 2 | 0 | 0 | 0 |
| **Change in cash** | **(62)** | **356** | **(222)** | **236** | **(46)** | **(51)** | **(484)** | **(251)** |
| Free cash flow | (673) | 1,182 | 1,031 | 603 | 351 | (928) | 244 | 726 |

*Source: FactSet, Daiwa forecasts*

## Financial summary continued …

### Balance sheet (TWDm)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Cash & short-term investment | 702 | 1,059 | 837 | 1,073 | 1,026 | 975 | 492 | 240 |
| Inventory | 4,087 | 3,866 | 3,578 | 3,654 | 3,807 | 4,392 | 5,210 | 5,937 |
| Accounts receivable | 2,563 | 2,140 | 1,933 | 2,129 | 2,033 | 2,561 | 3,027 | 3,467 |
| Other current assets | 223 | 195 | 186 | 193 | 202 | 202 | 202 | 202 |
| **Total current assets** | **7,575** | **7,260** | **6,534** | **7,049** | **7,068** | **8,130** | **8,930** | **9,847** |
| Fixed assets | 4,951 | 5,191 | 5,178 | 5,062 | 5,232 | 5,780 | 5,966 | 6,001 |
| Goodwill & intangibles | 74 | 57 | 52 | 57 | 78 | 78 | 78 | 78 |
| Other non-current assets | 444 | 418 | 381 | 368 | 358 | 358 | 358 | 358 |
| **Total assets** | **13,045** | **12,926** | **12,145** | **12,535** | **12,736** | **14,346** | **15,332** | **16,284** |
| Short-term debt | 1,002 | 1,201 | 1,189 | 1,205 | 1,250 | 2,327 | 2,327 | 2,327 |
| Accounts payable | 2,202 | 1,752 | 1,535 | 1,526 | 1,804 | 1,234 | 1,539 | 1,711 |
| Other current liabilities | 345 | 432 | 370 | 274 | 214 | 205 | 205 | 205 |
| **Total current liabilities** | **3,549** | **3,386** | **3,094** | **3,004** | **3,269** | **3,766** | **4,072** | **4,244** |
| Long-term debt | 2,381 | 1,998 | 1,381 | 1,535 | 1,616 | 1,616 | 1,616 | 1,616 |
| Other non-current liabilities | 581 | 556 | 554 | 578 | 574 | 574 | 574 | 574 |
| **Total liabilities** | **6,511** | **5,940** | **5,028** | **5,117** | **5,459** | **5,956** | **6,262** | **6,434** |
| Share capital | 1,821 | 1,821 | 1,821 | 1,821 | 1,821 | 1,821 | 1,821 | 1,821 |
| Reserves/R.E./others | 4,365 | 4,806 | 4,946 | 5,234 | 5,140 | 6,208 | 6,845 | 7,582 |
| **Shareholders' equity** | **6,187** | **6,628** | **6,767** | **7,055** | **6,961** | **8,030** | **8,666** | **9,403** |
| Minority interests | 346 | 358 | 350 | 363 | 316 | 360 | 403 | 447 |
| **Total equity & liabilities** | **13,045** | **12,926** | **12,145** | **12,535** | **12,736** | **14,346** | **15,332** | **16,284** |
| EV | 44,738 | 44,209 | 43,792 | 43,740 | 43,866 | 45,038 | 45,566 | 45,861 |
| **Net debt/(cash)** | **2,681** | **2,141** | **1,732** | **1,667** | **1,840** | **2,968** | **3,452** | **3,703** |
| **BVPS (TWD)** | **33.967** | **36.388** | **37.154** | **38.735** | **38.219** | **44.086** | **47.581** | **51.625** |

### Key ratios (%)

| Year to 31 Dec | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| Sales (YoY) | 32.0 | 5.1 | (7.4) | (0.4) | (5.2) | 27.6 | 18.0 | 14.6 |
| EBITDA (YoY) | 46.4 | (3.6) | (9.8) | (7.0) | (21.9) | 86.3 | 25.5 | 15.5 |
| Operating profit (YoY) | 103.7 | (4.6) | (16.3) | (15.4) | (39.8) | 193.8 | 34.6 | 19.4 |
| Net profit (YoY) | 144.1 | 10.4 | (21.0) | (9.1) | (55.1) | 269.3 | 34.3 | 20.1 |
| Core EPS (fully-diluted) (YoY) | 144.1 | 10.4 | (21.0) | (9.1) | (55.8) | 243.5 | 34.3 | 20.1 |
| Gross-profit margin | 18.9 | 17.7 | 17.1 | 15.9 | 13.3 | 19.1 | 20.0 | 19.8 |
| EBITDA margin | 17.0 | 15.6 | 15.2 | 14.2 | 11.7 | 17.1 | 18.2 | 18.3 |
| Operating-profit margin | 11.0 | 10.0 | 9.0 | 7.7 | 4.9 | 11.2 | 12.8 | 13.3 |
| Net profit margin | 7.6 | 8.0 | 6.8 | 6.2 | 3.0 | 8.6 | 9.7 | 10.2 |
| ROAE | 14.4 | 14.7 | 11.1 | 9.8 | 4.3 | 14.9 | 18.0 | 20.0 |
| ROAA | 7.2 | 7.2 | 5.9 | 5.5 | 2.4 | 8.3 | 10.1 | 11.4 |
| ROCE | 13.4 | 11.6 | 9.9 | 8.4 | 4.9 | 13.0 | 15.6 | 17.6 |
| ROIC | 11.4 | 10.0 | 8.5 | 7.5 | 4.3 | 11.3 | 13.0 | 14.3 |
| Net debt to equity | 43.3 | 32.3 | 25.6 | 23.6 | 26.4 | 37.0 | 39.8 | 39.4 |
| Effective tax rate | 22.0 | 21.3 | 22.0 | 18.6 | 21.5 | 21.1 | 21.0 | 21.0 |
| Accounts receivable (days) | 73.7 | 73.2 | 68.5 | 68.5 | 74.1 | 64.1 | 66.1 | 67.0 |
| Current ratio (x) | 2.1 | 2.1 | 2.1 | 2.3 | 2.2 | 2.2 | 2.2 | 2.3 |
| Net interest cover (x) | 21.4 | 16.4 | 19.5 | 16.4 | 9.5 | 25.8 | 35.0 | 41.8 |
| Net dividend payout | 64.1 | 62.0 | 63.8 | 67.4 | 66.1 | 65.0 | 65.0 | 65.0 |
| Free cash flow yield | n.a. | 2.8 | 2.5 | 1.4 | 0.8 | n.a. | 0.6 | 1.7 |

*Source: FactSet, Daiwa forecasts*

## Company profile

Founded in 1967, SDI started out as a stationery producer and set up its electronics department in 1983. SDI is currently the No.1 power lead frame manufacturer in the world, whose major segments are automotive (42% of revenue in 2024), industrial (18%), consumer (24%), stationery (13%) and others (2%). Its electrical business accounted for 87% of total revenue in 2025. The company was listed on Taiwan's main board in April 1996.

# ESG analysis

## ESG risks

| Risks | | Management | Analyst comments |
|---|---|---|---|
| G | Executive/board quality | 2 | The CEO and chairperson of SDI are not the same individual. SDI's board has 10 members, including 4 independent directors (40% of total). This ratio is higher than the regulatory requirement of at least 20%. There is a compensation committee overseen by SDI's board. |
| | Capital management | 1 | SDI's payout ratio has been stable over the past decade (generally c.60%). SDI's dividend payout ratio was 66% in 2025; we believe SDI's long-term goal is to maintain a highly stable dividend payout policy. |
| | Related party & transaction | 2 | Revenue generated from related-party transactions is <1%, and the transaction conditions are no different than normal transactions. Thus, we see limited risk. |
| S | Supply chain management | 1 | SDI has set several evaluation standards for its existing and new suppliers; the company's supply chain adopts the Hazardous Substance Process Management standard in accordance with the IECQ QC080000 standard. The company also requires its direct materials suppliers (accounts for 85% of its suppliers) to have ISO 9001 certification. |
| E | Water & wastewater management | 2 | We note that SDI has made efforts in lowering water consumption, with three chemical treatment systems for processing waste water, one biological treatment system and one small-scale batch treatment system with a high-concentration degreasing agent. |

*Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.*

*Update Date: 27 May 2026*

*Source: Daiwa, Company*

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